

Q2 2025

Custom Managed Portfolios

Jarislowsky Fraser North American Equity

Quick facts

Asset class:
North American Large Cap

Management style:
GARP¹

Number of holdings:
69

Sub-advisor:
Jarislowsky Fraser

Portfolio manager:
Aviso Wealth

Minimum investment:
\$150,000

Inception Date:
01-Jan-1997



What does the strategy invest in?

Jarislowsky has consistently applied a fundamental value style of investing, concentrating on proven, well-managed, large capitalization companies which are financially sound. This portfolio will consist of 20-35 Canadian equities and 20-35 U.S. equities. Jarislowsky constructs diversified, high quality portfolios designed to protect existing capital and achieve long-term growth for its clients.

How has the strategy performed?

Average annual compound returns

	3 month	YTD	1 yr	3 yr	5 yr	10 yr	SI
Portfolio	5.9%	3.5%	19.9%	20.6%	15.6%	11.3%	10.2%
Benchmark ⁵	6.9%	5.4%	20.6%	19.2%	16.0%	12.3%	9.1%

Calendar year returns

	2024	2023	2022	2021	2020	2019	2018
Portfolio	28.8%	24.1%	-13.1%	25.2%	8.2%	17.2%	0.9%
Benchmark ⁵	29.0%	17.1%	-8.4%	26.4%	10.8%	23.9%	-2.4%

Standard deviation	7.2%	Sortino ratio	1.84	Downside capture	70.2%
Sharpe ratio	1.19	Beta (Equity)	0.98	Upside capture	89.0%

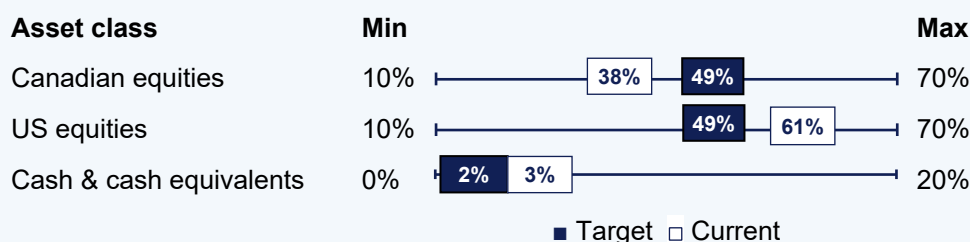
Largest holdings

1. MICROSOFT CORP	5.5%	6. BROOKFIELD CORP VTG CL A	2.5%
2. AMAZON.COM INC	4.4%	7. CDN NTL RAILWAY CO	2.5%
3. META PLATFORMS INC	3.5%	8. TORONTO DOMINION BK	2.4%
4. ORACLE CORP	2.8%	9. MASTERCARD INCORPORATED	2.3%
5. ALPHABET INC CL A	2.6%	10. BK OF MONTREAL	2.1%

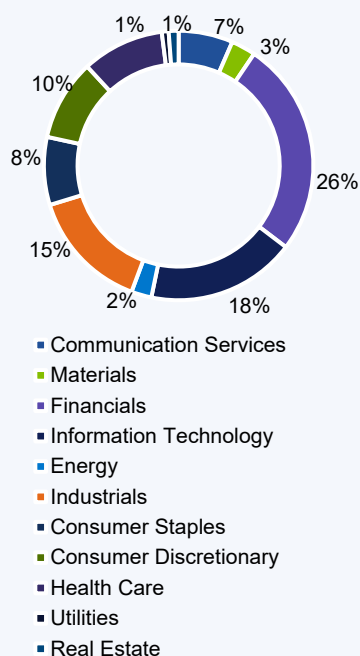
Portfolio attributes

Dividend yield	Average Trailing P/E	Average Forward P/E	Average Trailing P/S	Average Forward P/S	Average market cap	Portfolio turnover
1.3%	53.84	25.33	6.29	6.13	545.31B	58.0%

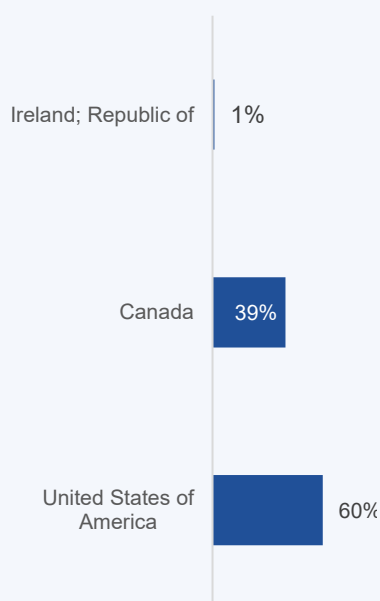
Target allocations



Sector breakdown



Geographic allocation



Quarterly commentary

Equities

North American Markets

Canadian equities advanced firmly during the second quarter of 2025, with the S&P/TSX Composite Index rising by 8.53%. A significant driver of this advance was a broad-based rally, with smaller-cap stocks notably outperforming their large-cap counterparts. The S&P/TSX SmallCap Index soared 11.75%, substantially ahead of the S&P/TSX 60 Index's gain of 7.59%. This expansion in market breadth reflected increasing investor risk appetite and optimism regarding Canada's economic prospects.

Domestic factors played a crucial role in bolstering Canadian equity performance during the quarter. The resumption of U.S.-Canada trade negotiations alleviated market uncertainties, while reduced political risk fostered a more favorable investment climate. This optimism was further supported by resilient consumer spending, robust corporate earnings in the technology sector, and a recovery in financials, particularly as higher interest rates supported bank profitability. Sector performance varied notably throughout the quarter. Information Technology led the way, buoyed by strong earnings results and continued enthusiasm surrounding artificial intelligence and digital transformation themes. Consumer Discretionary stocks benefited from a rebound in consumer spending, while Financials posted healthy gains amid rising interest margins and improved loan growth. Conversely, the Energy sector struggled with declining oil prices, ending the quarter near USD 65 per barrel. Health Care and Communication Services also lagged, weighed down by regulatory headwinds and shifting consumer preferences.

In Canadian dollar terms, domestic equities outpaced U.S. markets, as a strengthening loonie reduced the translation of foreign returns. This relative strength underlines the importance of currency considerations in global investing and highlights Canada's resilient performance amid a complex macroeconomic backdrop.

U.S. equities also delivered strong returns in Q2 2025. The S&P 500 Index advanced by 10.94%, marking one of its best quarterly performances in recent years. The technology-heavy NASDAQ Composite outpaced all major U.S. benchmarks with a remarkable 17.96% gain, driven by outsized gains in mega-cap technology firms and growth-oriented companies.

Investor optimism surrounding the Federal Reserve's potential pivot toward rate cuts later in the year, coupled with easing trade war tensions, fueled risk appetite. High-profile technology giants such as Broadcom and Oracle saw significant price appreciation, with Oracle benefiting from a landmark cloud services deal. The rally, however, was largely concentrated among a narrow group of stocks, raising concerns about market breadth and valuation sustainability.

Sector-wise, Information Technology, Communication Services, and Industrials led the charge, supported by robust earnings and momentum in areas like artificial intelligence, cloud computing, and infrastructure investment. Defensive sectors, including Real Estate and Health Care, underperformed due to rising interest rates and a shift toward more cyclical, growth-oriented investments. Energy stocks also struggled, reflecting a sharp drop in U.S. crude oil prices. The Dow Jones Industrial Average posted a more modest gain of 5.46%, reflecting its heavier exposure to traditional industrial and value-oriented stocks. Small-cap equities, as measured by the Russell 2000 Index, underperformed large-cap peers, advancing by 8.50%. The narrowing leadership among a handful of "Magnificent Seven" tech stocks remained a focal point for investors concerned about market concentration risks.

International Developed Markets

International developed equity markets delivered mixed results during the quarter, with notable performance dispersion across countries and sectors. The MSCI EAFE Index, which tracks developed markets outside North America, achieved a low double-digit gain, supported by declining bond yields and improving trade sentiment.

European equities benefited from a favorable macroeconomic backdrop, including falling inflation and fiscal stimulus measures. Countries such as Israel, Hong Kong, and Portugal stood out as top performers. Israel's robust technology sector staged a strong rebound, while Hong Kong's market rallied on expectations of increased policy support from mainland China. Portugal saw gains driven by strength in its banking and energy sectors.

Conversely, Denmark, France, and Switzerland lagged their developed market peers. Denmark faced challenges from underperformance in its pharmaceutical and renewable energy sectors, while France struggled with softness in luxury goods demand and weaker industrial output. Switzerland's defensive market profile and a strengthening Swiss franc weighed on equity performance, particularly for export-oriented companies.

European markets broadly benefited from investor optimism about improving economic conditions and the potential resolution of global trade tensions. Additionally, easing bond yields provided a tailwind for equity valuations, encouraging risk-taking behavior.

Emerging Markets

Emerging market equities outperformed their developed market counterparts in Q2 2025, with the MSCI Emerging Markets Index climbing 11.99%. This strong showing reflected a combination of favorable macroeconomic trends, improving investor sentiment, and significant country-specific catalysts.

South Korea emerged as a top performer among emerging markets, driven by a rally in semiconductor and battery-related stocks. The global technology upcycle, coupled with strong demand for electric vehicle components, bolstered South Korea's equity market. Mexico also delivered robust returns, supported by steady economic growth, favorable nearshoring trends, and improving investor confidence.

Brazil's market gained on the back of rising commodity exports and signs of easing inflation, which increased the likelihood of interest rate cuts. These developments attracted inflows into Brazilian assets and lifted equity prices.

In contrast, some emerging markets faced headwinds during the quarter. China's equity market underperformed as the anticipated post-pandemic economic recovery lost momentum. Investor sentiment remained cautious amid concerns about slowing growth and ongoing regulatory pressures on key sectors. South Africa and Indonesia also posted weaker returns, reflecting domestic challenges such as energy shortages, currency volatility, and declining commodity prices. Overall, emerging markets benefitted from a supportive global liquidity environment and a weakening U.S. dollar, which eased financial conditions for countries with significant external debt exposure. However, the wide dispersion of returns across countries highlighted the importance of careful country selection and risk management within the emerging markets universe.

Fixed Income

Global fixed income markets produced mixed results in Q2 2025, reflecting divergent economic conditions and monetary policy expectations across regions. Outside North America, the Bloomberg Global Aggregate ex-US Index advanced 7.3%, supported by sharp declines in bond yields across Europe and the United Kingdom. Softer inflation prints and dovish signals from central banks, including the European Central Bank and the Bank of England, contributed to a rally in sovereign debt.

In the United States, U.S. Treasuries also gained, albeit to a lesser extent. The market responded to growing expectations that the Federal Reserve would pivot toward rate cuts in the latter half of the year. The two-year Treasury yield declined sharply, reflecting investors' conviction that monetary tightening had peaked. Longer-dated yields moved within a narrower range, balancing inflation concerns with strong demand for U.S. government debt.

In contrast, Canadian fixed income markets underperformed relative to global peers. The Bloomberg Canada Aggregate Index declined 0.7%, as the Bank of Canada's relatively hawkish stance pushed bond yields higher. The Canadian government yield curve steepened, with the two-year yield rising to approximately 2.59% and the ten-year yield climbing to around 3.27% by quarter-end. Investment-grade corporate bonds delivered a modest positive return of 0.54%, supported by stable credit spreads and shorter durations. However, high-yield bonds suffered significant losses, with the Bloomberg Canada High Yield Bond Index plunging -4.74%. This stark underperformance reflected a combination of rising risk-free rates and widening credit spreads, particularly among lower-rated issuers.

Currencies

Currency markets experienced notable shifts during the quarter, as the U.S. dollar weakened against a broad basket of peers. The U.S. Dollar Index (DXY) registered its longest consecutive monthly decline since 2017, driven by diminished safe-haven demand and expectations that the Federal Reserve had reached the end of its tightening cycle.

The Canadian dollar emerged as a standout performer, appreciating by 5.41% versus the U.S. dollar. This strength was underpinned by Canada's robust commodity export profile, particularly in metals and agriculture, and the Bank of Canada's comparatively less dovish monetary policy stance.

Other major currencies displayed mixed performance. The euro, British pound, and New Zealand dollar faced headwinds from domestic growth concerns and tighter fiscal constraints. By contrast, the Mexican peso and Swiss franc recorded notable gains. The peso benefited from elevated local interest rates and solid economic fundamentals, while the Swiss franc attracted safe-haven flows amid geopolitical uncertainties and rising Swiss yields.

The U.S. dollar's retreat during Q2 2025 provided a tailwind for international equity and fixed income returns when translated into Canadian dollars, enhancing the appeal of global diversification.

Energy

Energy markets experienced significant volatility during the quarter, with crude oil prices relinquishing earlier gains. West Texas Intermediate (WTI) and Brent crude futures fell by 8.9% and 9.5%, respectively, closing near USD 65 and USD 68 per barrel. Early-quarter weakness stemmed from ample global supply and uncertain demand, exemplified by unexpected builds in U.S. gasoline inventories. Geopolitical tensions in the Middle East, including a brief conflict between Israel and Iran, triggered a temporary price spike. However, a swift ceasefire quickly defused risk premiums, leading to sharp price declines.

Market sentiment was further pressured by expectations that OPEC+ would ease production cuts later in the year. Reports of capacity expansions and anticipated supply increases weighed on oil prices. Additionally, concerns about unregulated Iranian crude exports intensified supply-related anxieties. Despite fluctuating geopolitical risks, oil markets remained well-supplied, emphasizing the ongoing sensitivity of energy prices to both policy shifts and demand conditions.

Natural gas prices fell even more sharply, down 16.1% for the quarter. Record U.S. production levels, combined with mild weather and subdued demand, drove prices lower. Although liquefied natural gas (LNG) exports remained strong, they were insufficient to absorb the domestic supply glut. By quarter-end, Henry Hub gas prices settled near USD 3.46 per million British thermal units (MMBtu).

Investment manager overview

Jarislowsky Fraser is one of Canada's leading independent investment management firms. Founded in 1955 as a research boutique, Jarislowsky Fraser today manages the portfolios of pension funds, foundations and endowments, corporations and individuals in Canada, the United States and internationally. It has offices in Montreal, Toronto, Calgary, Vancouver and New York Ci. Its investment philosophy and low-risk approach are built on a foundation of time-tested conservative principles and more than 60 years of fundamental research. Its history and culture are rooted in investment stewardship, which is expressed through an adherence to high-quality investing, a long-term investment horizon and the advancement of good governance and sustainable investing.

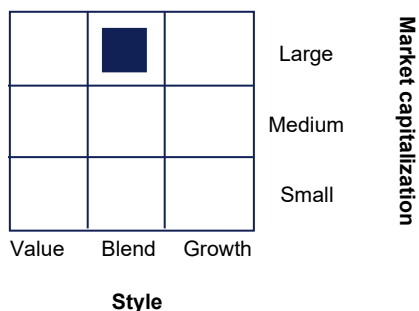
Investment philosophy

The firm's primary goal is to grow capital in a low-risk manner. Since its inception, Jarislowsky Fraser has adhered to the belief that superior long-term performance is achieved by investing in high-quality businesses with attractive earnings prospects and reasonable valuations. Its decisions are based on fundamental research, with an investment horizon of over five years. Equally, it believes that strong, ethical management teams and good governance practices invariably deliver excellent long-term performance. This investment approach has produced consistent returns through changing economic environments and has been particularly effective in minimizing the volatility prevalent in today's global markets.

Investment process and risk controls

The foundation of Jarislowsky Fraser's investment approach is an emphasis on in-house fundamental research, which provides the framework for risk management of equity and fixed income investments. Securities of companies that the firm believes to be speculative are avoided. Strict internal policy guidelines limit the maximum exposure allowed to any company or industry. Its bottom-up investment process focuses on firms that are regional or global leaders in their industries, and each investment candidate must meet four criteria to be considered for purchase: Competitive advantage; strong management; sustainable growth in earnings and cash flow and sound balance sheet; and reasonable valuations. The firm has an Investment Strategy Committee (ISC) that acts as a central risk and investment oversight body. Its main objective is to ensure continuity in the adherence to the firm's fundamental, low-risk investment philosophy and disciplined investment process. The ISC is the final level of oversight to ensure that proper due diligence was performed and that the investment thesis is sound prior to the addition or removal of a company from the approved list.

Equity style²



¹ GARP (Growth at a reasonable price)

² Style represents the aggregate characteristics of the underlying holdings within this model. Market capitalization measures the aggregate market value of the outstanding shares of a company. Large-cap stocks are defined as the group that accounts for the top 70% of the capitalization of each geographic area; mid-cap stocks represent the next 20%; and small-cap stocks represent the balance.

The return data is as at <asof>. Indicated rates of return are historical annual compounded total returns including reinvestment of all distributions for the period ended, and do not take into account management expenses, account sales, redemption, distribution or optional charges or income taxes payable by any security holder that would have reduced returns.

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⁵ The benchmark is 50% S&P/TSX Composite TR Index; 50% S&P 500 TR Index (CAD)

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